

Chapter 1: Overview of the CARICOM Sugar Sector

Sugar is cultivated in several CARICOM member states, notably Belize, Guyana, Jamaica, and Trinidad and Tobago, with smaller operations in Barbados and St. Kitts and Nevis. Production levels vary significantly by country, reflecting differences in land area, labour availability, and investment in infrastructure.

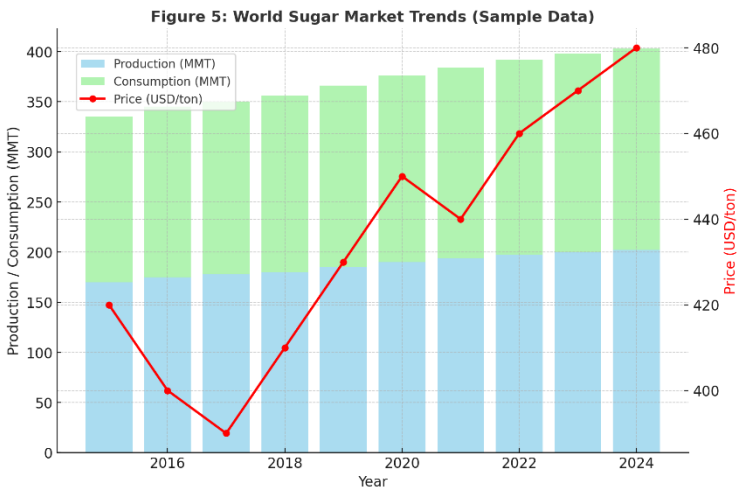
In recent decades, sugar production has declined sharply in some countries due to the loss of preferential trade agreements with the European Union, high production costs and competition from lower-cost producers. Nevertheless, sugar remains strategically important, particularly in Belize and Guyana, where it continues to contribute to rural employment, foreign exchange earnings and value-added industries such as rum.

Institutional frameworks differ across the region. Some countries, such as Guyana, maintain state-owned enterprises, while others, including Belize, have privatised much of their sugar industry. Regional integration under CARICOM provides opportunities to harmonise standards, improve market access and leverage economies of scale.

SWOT Analysis of the CARICOM Sugar Sector

Strengths	Weaknesses	Opportunities	Threats
Long history and strong cultural significance of sugar	Ageing infrastructure and outdated milling technology	Diversification into ethanol, rum, and specialty sugars	Climate change impacts: droughts, floods, hurricanes
Established linkages to value-added industries	High production costs relative to global competitors	Access to CARICOM market and preferential agreements	Volatile international sugar prices
Availability of suitable land (Guyana, Belize)	Declining productivity due to ageing cane fields	Growing demand for sustainable and organic sugar	Competition from low-cost producers (Brazil, India)
Skilled workforce with generational knowledge	Limited access to credit for smallholders	Renewable energy potential through biomass	Labour shortages and youth disengagement

World Sugar Market Trends



Source: Sample data compiled for illustrative purposes (2025).
Note: Figures are illustrative and do not represent official global statistics.



CARICOM SUGAR CANE ANALYSIS





CARICOM



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EXECUTIVE SUMMARY

The sugar industry has played a central role in the economic and social development of Caribbean Community (CARICOM) countries for centuries. Although its relative importance has declined in recent decades, sugar remains a critical agricultural commodity in several member states, providing employment, supporting rural livelihoods and contributing to export revenues. The sector also holds cultural significance, being closely tied to regional history and identity.

Today, CARICOM sugar faces profound challenges. These include declining productivity, aging infrastructure, high production costs, volatile international markets, and vulnerability to climate change. At the same time, the industry presents opportunities for diversification into value-added products, including refined sugar, molasses, ethanol and rum, as well as sustainable agriculture initiatives.

This report reviews the current state of sugar production in CARICOM, identifies key strengths, weaknesses, opportunities and threats, and assesses the impact of climate change. It also highlights ongoing development program aimed at enhancing the sector's competitiveness and sustainability.



INTRODUCTION

Sugar production in CARICOM countries has historically been a cornerstone of the regional economy, dating back to the colonial era when sugar was the primary export crop. While its contribution to gross domestic product (GDP) and employment has diminished, the industry continues to provide income for thousands of smallholder farmers, cane cutters and factory workers.

Globally, sugar markets are undergoing transformation, driven by shifting consumer preferences, health concerns related to sugar consumption, and the growing demand for renewable energy. For CARICOM, this context presents both risks and opportunities. To remain viable, the regional sugar industry must adapt to climate change, invest in modernization, and diversify into value-added and sustainable products.

This report presents a situational analysis of the sugar sector in CARICOM countries, with a focus on production trends, market dynamics, institutional frameworks, climate change impacts and development initiatives.



Overview of the CARICOM Sugar Sector

Sugar is cultivated in several CARICOM member states, notably Belize, Guyana, Jamaica, and Trinidad and Tobago, with smaller operations in Barbados and St. Kitts and Nevis.¹ Production levels vary significantly by country, reflecting differences in land area, labour availability, and investment in infrastructure.

In recent decades, sugar production has declined sharply in some countries due to the loss of preferential trade agreements with the European Union, high production costs and competition from lower-cost producers. Nevertheless, sugar remains strategically important, particularly in Belize and Guyana, where it continues to contribute to rural employment, foreign exchange earnings and value-added industries such as rum.

Institutional frameworks differ across the region. Some countries, such as Guyana, maintain state-owned enterprises, while others, including Belize, have privatized much of their sugar industry. Regional integration under CARICOM provides opportunities to harmonize standards, improve market access and leverage economies of scale.

Sugar cane is recognized as a strategic crop in CARICOM's national development agenda due to its significant economic importance and role in rural livelihoods.



¹ Caribbean Community (CARICOM). *Regional Sugar Industry Overview: Production and Market Structure in CARICOM Member States*. CARICOM Secretariat, Georgetown, Guyana, 2022

SWOT Analysis of the CARICOM Sugar Sector

STRENGTHS	WEAKNESSES	OPPORTUNITIES	THREATS
Long history and strong cultural significance of sugar	Aging infrastructure and outdated milling technology	Diversification into ethanol, rum, and specialty sugars	Climate change impacts: droughts, floods, hurricanes
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Skilled workforce with generational knowledge	Limited access to credit for smallholders	Renewable energy potential through biomass	Labour shortages and youth disengagement
Regional cooperation under CARICOM	Weak research and extension services	International development investment opportunities	Shifting consumer demand away from sugar
Contribution to rural employment and foreign exchange	Limited mechanisation and poor logistics	Integration with agri-tourism and local value chains	Loss of EU preferential market access



Main Contributing Sectors to CARICOM GDP

The economies of CARICOM member states are primarily driven by the services sector, with key industries including tourism, manufacturing, agriculture, and financial services providing support.²

These sectors collectively underpin regional growth, employment, and export earnings, reflecting the structural diversity and economic interdependence across the Caribbean.

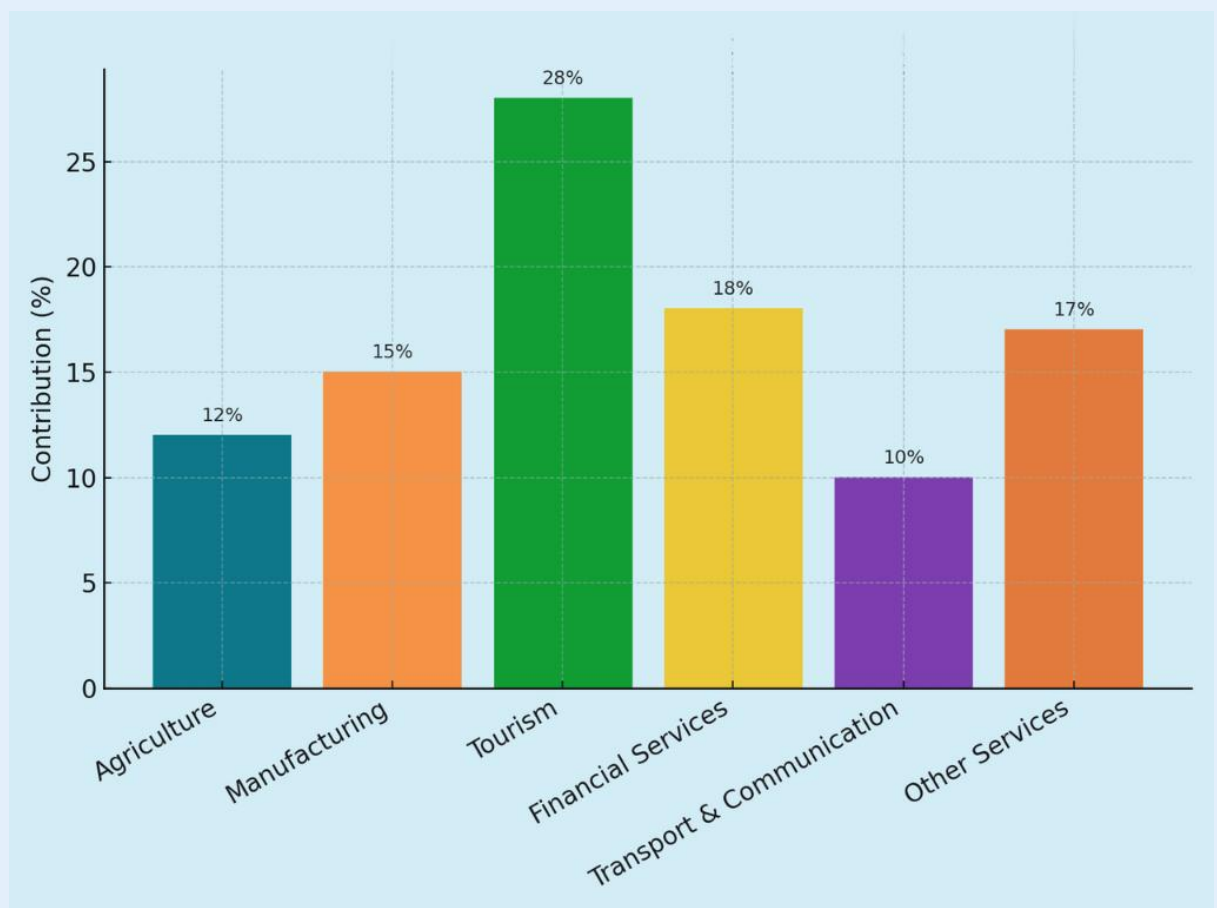
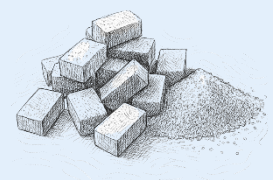


Figure 1: Main Contributing Sectors to CARICOM Countries' GDP (Sample Data)



² Caribbean Community (CARICOM). Caribbean Regional Statistics: GDP by Sector Report 2023. Georgetown, Guyana: CARICOM Secretariat, 2023.

Five Focus Areas for Sugar Initiatives

Sugar sector initiatives across CARICOM countries concentrate on strengthening competitiveness, improving sustainability, and ensuring long-term viability.³

Current programmes target five key areas that address:

- Productivity Improvement
- Climate Change Adaptation
- Sustainability & Certification
- Market Diversification
- Research & Development

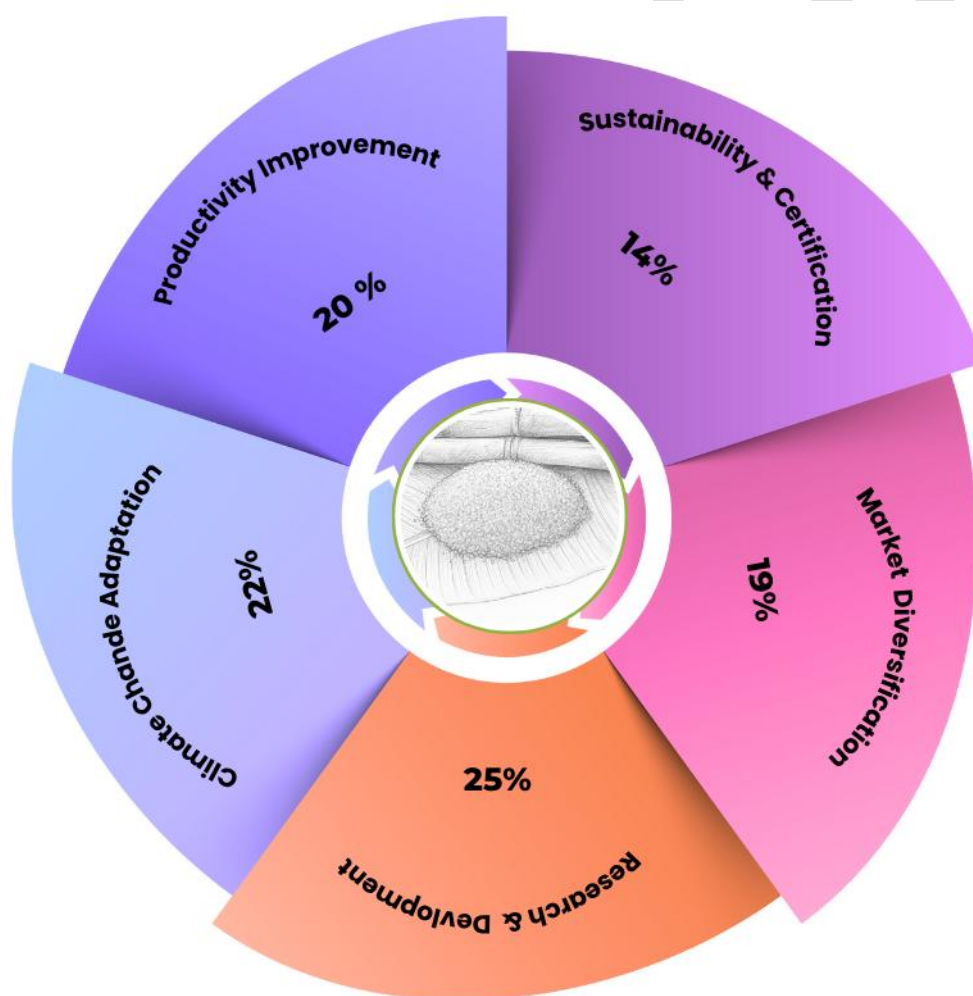


Figure 2: Focus Areas of Sugar Initiatives (Sample Data)

³ Caribbean Community (CARICOM). Regional Sugar Industry Development Programme: Focus Areas and Strategic Framework 2022–2030. Georgetown, Guyana: CARICOM Secretariat, 2022.

World Sugar Market Trends

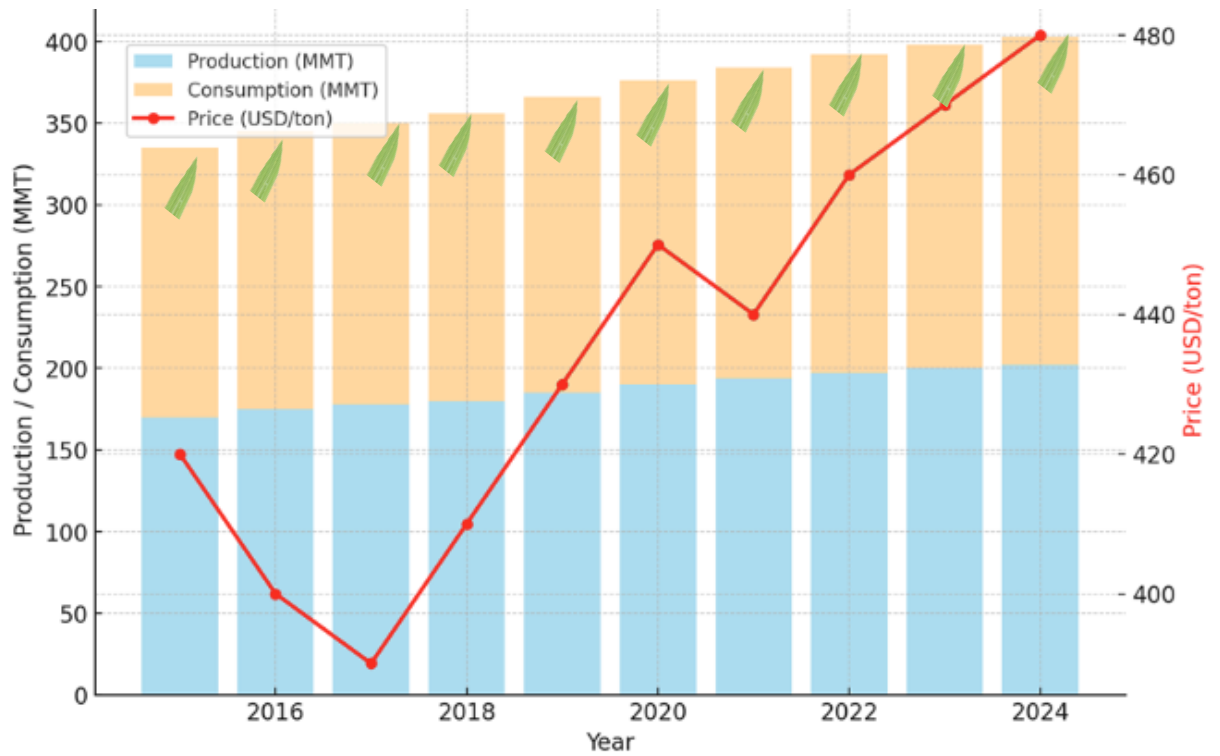
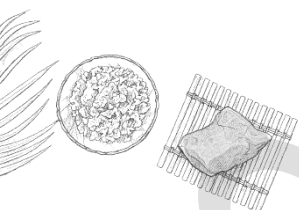


Figure 3: World Sugar Market Trends (Sample Data)



X.Endnotes

- [1] Caribbean Community (CARICOM). *Regional Sugar Industry Overview: Production and Market Structure in CARICOM Member States*. CARICOM Secretariat, Georgetown, Guyana, 2022
- [2] Caribbean Community (CARICOM). *Caribbean Regional Statistics: GDP by Sector Report 2023*. Georgetown, Guyana: CARICOM Secretariat, 2023.
- [3] Caribbean Community (CARICOM). *Regional Sugar Industry Development Program: Focus Areas and Strategic Framework 2022–2030*. Georgetown, Guyana: CARICOM Secretariat, 2022.



X.Glossary

Term	Description
CARICOM (Caribbean Community)	An organization of Caribbean nations and dependencies established to promote regional integration, economic cooperation, and coordinated development among member countries.
Ethanol	A biofuel produced from sugarcane or molasses, used as an alternative energy source and as a fuel additive to reduce greenhouse gas emissions.
Greenhouse Gas (GHG) Emissions	Gases released into the atmosphere that contribute to global warming and climate change; key emissions from sugarcane production include carbon dioxide (CO ₂) and methane (CH ₄).
Renewable Energy (Biomass)	Energy generated from organic materials such as sugarcane bagasse, a by-product of sugar production used to produce electricity or heat.





